



Bloomenergy®

Q2 2023 Earnings

August 3, 2023

Bloomenergy

Forward-looking statements and non-GAAP financial measures

This press release contains certain forward-looking statements, which are subject to the safe harbor provisions of the Private Securities Litigation Reform Act of 1995. Forward-looking statements generally relate to future events or our future financial or operating performance. In some cases, you can identify forward-looking statements because they contain words such as “anticipate,” “believe,” “could,” “estimate,” “expect,” “intend,” “may,” “should,” “will” and “would” or the negative of these words or similar terms or expressions that concern Bloom’s expectations, strategy, priorities, plans or intentions. These forward-looking statements include, but are not limited to: Bloom’s objectives; Bloom’s expectations regarding investing in products, revenue growth and product innovation; the efficiency and future-proof of Bloom’s products; industry trends, the time-to-power problem and growth drivers for Bloom; the demand for electricity and for abundant, clean and resilient energy; trends with respect to the electric grid, power outages and power prices; the impact of and potential customer reaction to Bloom’s products; Service results; Bloom’s ability to grow its global business; Bloom’s focus on large scale projects, its Series 10 offering, and reducing cost; announcements on Bloom’s technology deployments; positive cash flow from operations for 2023; Bloom’s liquidity; Bloom’s growth opportunities; Bloom’s cost down target for 2023; Bloom’s 2025 company margin guidance; accelerating service cost and Service loss; improvements in financial performance; revenue growth; reductions in performance payments; normalization of replacement power module shipments; Bloom’s 2023 annual guidance for revenue, margins and cash flows; likely acceptances, revenue growth, product costs, margins; cost downs, Service performance and performance payments in 2023 and in the third quarter of 2023. Readers are cautioned that these forward-looking statements are only predictions and may differ materially from actual future events or results due to a variety of factors including, but not limited to, Bloom’s limited operating history; the emerging nature of the distributed generation market and rapidly evolving market trends; the significant losses Bloom has incurred in the past; the significant upfront costs of Bloom’s Energy Servers and Bloom’s ability to secure financing for its products; Bloom’s ability to drive cost reductions and to successfully mitigate against potential price increases; Bloom’s ability to service its existing debt obligations; Bloom’s ability to be successful in new markets; the ability of the Bloom Energy Server to operate on the fuel source a customer will want; the success of the strategic partnership with SK ecoplant in the United States and international markets; timing and development of an ecosystem for the hydrogen market, including in the South Korean market; continued incentives in the South Korean market; the timing and pace of adoption of hydrogen for stationary power; the risk of manufacturing defects; the accuracy of Bloom’s estimates regarding the useful life of its Energy Servers; delays in the development and introduction of new products or updates to existing products; Bloom’s ability to secure partners in order to commercialize its electrolyzer and carbon capture products; the availability of rebates, tax credits and other tax benefits; changes in the regulatory landscape; Bloom’s reliance on tax equity financing arrangements; Bloom’s reliance upon a limited number of customers; Bloom’s lengthy sales and installation cycle, construction, utility interconnection and other delays and cost overruns related to the installation of its Energy Servers; business and economic conditions and growth trends in commercial and industrial energy markets; global economic conditions and uncertainties in the geopolitical environment; overall electricity generation market; Bloom’s ability to protect its intellectual property; and other risks and uncertainties detailed in Bloom’s SEC filings from time to time. More information on potential factors that may impact Bloom’s business are set forth in Bloom’s periodic reports filed with the SEC, including our Annual Report on Form 10-K for the year ended on December 31, 2022, as filed with the SEC on February 21, 2023, our Quarterly Report on Form 10-Q for the quarter ended on March 31, 2023, as filed with the SEC on May 9, 2023, as well as subsequent reports filed with or furnished to the SEC from time to time. These reports are available on Bloom’s website at www.bloomenergy.com and the SEC’s website at www.sec.gov. Bloom assumes no obligation to, and does not currently intend to, update any such forward-looking statements.

This presentation includes certain non-GAAP financial measures as defined by SEC rules. These non-GAAP financial measures are in addition to, and not a substitute for or superior to, measures of financial performance prepared in accordance with U.S. GAAP. There are a number of limitations related to the use of these non-GAAP financial measures versus their nearest GAAP equivalents. For example, other companies may calculate non-GAAP financial measures differently or may use other measures to evaluate their performance, all of which could reduce the usefulness of our non-GAAP financial measures as tools for comparison. We urge you to review the reconciliations of our non-GAAP financial measures to the most directly comparable U.S. GAAP financial measures set forth in the appendix to this presentation and in our earnings release, and not to rely on any single financial measure to evaluate our business. With respect to our expectations regarding our 2023 Outlook, we are not able to provide a quantitative reconciliation of non-GAAP gross margin and non-GAAP operating margin measures to the corresponding GAAP measures without unreasonable efforts.

Financial performance

\$ in millions	Q2'23	Q2'22	YoY
Total Revenue	\$301.1	\$243.2	23.8%
Product & Service Revenue	\$257.0	\$212.1	21.2%
Non-GAAP Gross Margin ¹	20.4%	19.6%	0.8 pts
Non-GAAP Operating Loss ¹	(\$25.9)	(\$24.6)	(\$1.3)
Adjusted EBITDA ¹	(\$8.4)	(\$8.3)	(\$0.1)
Non-GAAP EPS ¹	(\$0.17)	(\$0.20)	\$0.03

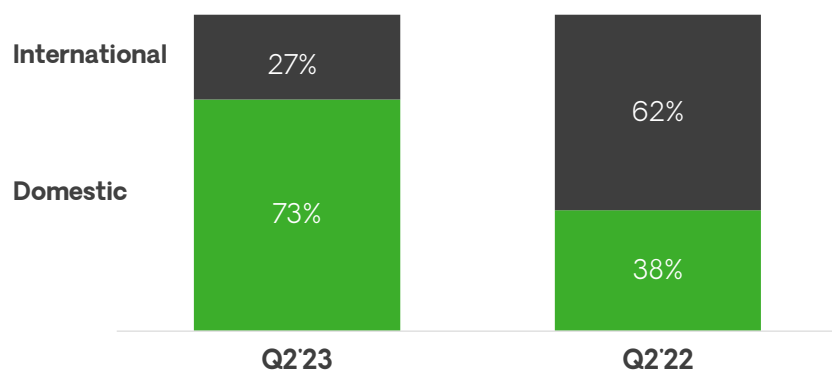
- **Record second quarter revenue**
- **Product costs down 13%**
- **Total cash balance of \$923M**
- **Reaffirming 2023 outlook**

Note: Dollars in millions, except per share figures and percentages
 1. Please reference appendix for GAAP to Non-GAAP reconciliations

Revenue and margin analysis

	Q2'23			Q2'22		
\$ in millions	Revenue	Non-GAAP gross profit (loss) ¹	Non-GAAP gross margin ¹	Revenue	Non-GAAP gross profit (loss) ¹	Non-GAAP gross margin ¹
Product	\$214.7	\$72.2	33.6%	\$173.6	\$46.8	27.0%
Service	42.3	(13.6)	(32.1%)	38.4	(1.3)	(3.4%)
Install	24.3	(1.6)	(6.4%)	12.7	(3.1)	(24.4%)
Electricity	19.8	4.3	21.8%	18.5	5.2	28.1%
Total	\$301.1	\$61.4	20.4%	\$243.2	\$47.6	19.6%

Revenue breakdown



Product per unit economics³

\$ per kilowatt	Q2'23	Q2'22	V%
Product ASP ²	\$3,542	\$3,686	(3.9)%
Product Cost	\$2,350	\$2,693	(12.7)%
Product Profit	\$1,192	\$994	19.9%
Product Margin	33.6%	27.0%	6.7 pts

1. Please reference appendix for GAAP to Non-GAAP reconciliations
2. ASP refers to Average Selling Price
3. Calculated based on upfront acceptances (in 100 kilowatt systems) of 606 in Q2'23 and 471 in Q2'22

Cash flow and debt analysis

Cash flows (\$ in millions)	Q2'23	Q1'23	Q2'22
Beginning balance	\$483.4	\$518.4	\$ 493.9
Operating cash (CFOA) ¹	(46.5)	(314.7)	(6.1)
Investing cash	(19.6)	(26.6)	(26.2)
Financing cash	505.3	306.5	(46.9)
Exchange rate changes	(0.2)	(0.1)	(0.5)
Ending balance	\$922.5	\$483.4	\$ 414.2

- **Issued \$633 million of convertible debt**
- **Strong liquidity position to fund investments**

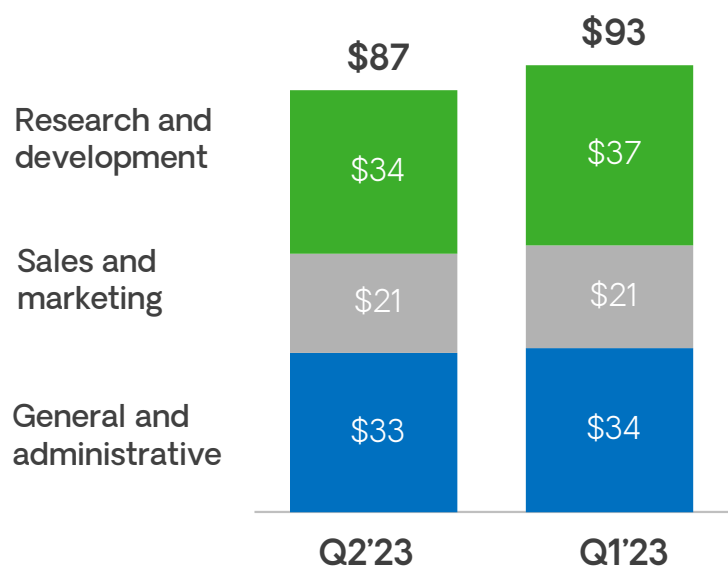
1. Cash flow from operating activities
2. Redeemable Convertible Preferred Stock

Cash balances (\$ in millions)	Q2'23	Q1'23	Q2'22
Restricted	\$155.5	\$163.0	\$ 178.5
Unrestricted	767.1	320.4	235.7
Total cash	\$922.5	\$483.4	\$ 414.2

Debt analysis (\$ in millions)	Q2'23	Q1'23	Q2'22
Recourse	\$862.5	\$287.6	\$ 298.0
Non-recourse	120.1	121.5	200.7
Total debt	982.6	409.2	\$ 498.7
RCPS ²	311.0	311.0	-

Non-GAAP operating expenses¹ overview

\$ in millions



- Managing operating expenses with focus on profitability
- Continued technical and commercial investments :
 - Electrolyzers
 - Hydrogen fuel cells
 - Carbon capture

1. Please reference appendix for GAAP to Non-GAAP reconciliations

Reaffirming 2023 financial outlook

Metric	2023 Outlook
Total Revenue	\$1.4–1.5B
Product & Service Revenue	\$1.25–1.35B
Non-GAAP Gross Margin ¹	~25%
Non-GAAP Operating Margin ¹	Positive



- **On-track for record revenues**
- **Margins expanding on lower product costs**
- **Expect positive cash flow from operating activities (CFOA)**

1. With respect to Bloom's expectations regarding its 2023 Outlook, Bloom is not able to provide a quantitative reconciliation of non-GAAP gross margin and non-GAAP operating margin measures to the corresponding GAAP measures without unreasonable efforts.

Appendix

Q2 2023

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GAAP to Non-GAAP reconciliation: Gross profit (loss) and margin

\$ in millions	Q2'23	Q2'22
GAAP revenue	\$301.1	\$243.2
GAAP cost of sales	244.7	245.2
GAAP gross profit (loss)	\$56.4	(\$2.0)
Non-GAAP adjustments:		
Stock-based compensation expense	5.1	4.8
PPA IIIa repowering related impairment charges	–	44.8
Non-GAAP gross profit	\$61.4	\$47.6
GAAP gross margin	18.7%	(0.8%)
Non-GAAP adjustments	1.7%	20.4%
Non-GAAP gross margin	20.4%	19.6%

GAAP to Non-GAAP reconciliation: Operating loss and margin

\$ in millions	Q2'23	Q2'22
GAAP operating loss	\$(54.5)	\$(102.2)
Non-GAAP adjustments:		
Stock-based compensation expense	28.5	32.6
PPA IIIa repowering related impairment charges	–	44.8
Amortization of acquired intangible assets	0.0	0.1
Non-GAAP operating loss	\$(25.9)	\$(24.6)
GAAP operating margin	(18.1%)	(42.0%)
Non-GAAP adjustments	9.5%	31.9%
Non-GAAP operating margin	(8.6%)	(10.1%)

GAAP to Non-GAAP reconciliation: Net loss and EPS

\$ in millions, except per share	Q2'23	Diluted earnings per share	Q2'22	Diluted earnings per share
GAAP net loss to common stockholders	(\$66.1)	(\$0.32)	(\$118.8)	(\$0.67)
Non-GAAP adjustments:				
Loss for non-controlling interests	(3.0)	(0.01)	(2.4)	(0.01)
Loss (gain) on derivatives liabilities	1.2	0.01	(0.0)	(0.00)
Goodwill impairment	-	-	2.0	0.01
JV investment loss	-	-	1.4	0.01
PPA IIIa repowering related impairment charges	-	-	44.8	0.25
Loss on extinguishment of debt	2.9	0.01	4.2	0.02
Amortization of acquired intangible assets	0.0	0.00	0.1	0.00
Stock-based compensation expense	28.5	0.14	32.6	0.18
Non-GAAP net loss to common stockholders	(\$36.5)	(\$0.17)	(\$36.0)	(\$0.20)

GAAP to Non-GAAP reconciliation: Adjusted EBITDA

\$ in millions	Q2'23	Q2'22
GAAP net loss to common stockholders	(\$66.1)	(\$118.8)
Non-GAAP adjustments: ¹		
Loss for non-controlling interests	(3.0)	(2.4)
Loss (gain) on derivatives liabilities	1.2	(0.0)
Goodwill impairment	-	2.0
Stock-based compensation expense	28.5	32.6
Depreciation & amortization	17.5	16.3
Income tax provision (benefit)	0.2	(0.0)
Amortization of acquired intangible assets	0.0	0.1
JV investment loss	-	1.4
PPA IIIa repowering related impairment charges	-	44.8
Loss on extinguishment of debt	2.9	4.2
Interest expense / other misc.	10.3	11.4
Adjusted EBITDA	(\$8.4)	(\$8.3)

1. GAAP to non-GAAP adjustments have been carved out for prior periods to promote consistency

GAAP to Non-GAAP reconciliation: Diluted earnings per share

\$ in millions, except per share	Q2'23	Q2'22
Numerator:		
GAAP net loss to common stockholders	(\$66.1)	(\$118.8)
Non-GAAP net loss to common stockholders	(\$36.5)	(\$36.0)
Denominator:		
Weighted-average shares used to compute basic net earnings per share (in millions)	208.7	178.5
Weighted-average shares used to compute diluted net earnings per share (in millions)	208.7	178.5
GAAP net earnings per share		
Basic	(\$0.32)	(\$0.67)
Diluted	(\$0.32)	(\$0.67)
Non-GAAP net earnings per share		
Basic	(\$0.17)	(\$0.20)
Diluted	(\$0.17)	(\$0.20)

GAAP to Non-GAAP reconciliation: Gross profit (loss) and margin

\$ in millions		Q2'23				Q2'22				
	Revenue	GAAP gross profit (loss)	Non-GAAP Adj ¹	Non-GAAP gross profit (loss)	Non-GAAP gross margin	Revenue	GAAP gross profit (loss)	Non-GAAP Adj ¹	Non-GAAP gross profit (loss)	Non-GAAP gross margin
Product	\$ 214.7	\$ 69.6	\$ 2.7	\$ 72.2	33.6%	\$ 173.6	\$ 44.2	\$ 2.6	\$ 46.8	27.0%
Install	24.3	(2.6)	1.0	(1.6)	(6.4%)	12.7	(4.0)	0.9	(3.1)	(24.4%)
Service	42.3	(15.0)	1.4	(13.6)	(32.1%)	38.4	(2.6)	1.3	(1.3)	(3.4%)
Electricity	19.8	4.3	--	4.3	21.8%	18.5	(39.6)	44.8	5.2	28.1%
Total	\$ 301.1	\$ 56.4	\$ 5.1	\$ 61.4	20.4%	\$ 243.2	(\$2.0)	\$ 49.6	\$ 47.6	19.6%

1. Please reference appendix for detailed GAAP to Non-GAAP reconciliations

GAAP to Non-GAAP reconciliation: Operating expenses

\$ in millions	Q2'23	Q2'22
Operating expenses:		
Research and development	\$41.5	\$41.6
Sales and marketing	26.8	20.5
General and administrative	42.5	38.1
Total GAAP operating expenses	\$110.8	\$100.2
Stock-based compensation expense:		
Research and development	\$7.7	\$13.2
Sales and marketing	6.3	4.8
General and administrative	9.5	9.8
Stock-based compensation expense (operating expenses)	\$23.4	\$27.8
Non-GAAP Operating expenses ¹ :		
Research and development	\$33.8	\$28.4
Sales and marketing	20.5	15.5
General and administrative	33.0	28.3
Total non-GAAP operating expenses¹	\$87.4	\$72.2

.1. Excluding stock-based compensation

A wide-angle photograph of the San Francisco skyline under a clear blue sky. The city's dense collection of skyscrapers, including the Transamerica Pyramid and the Salesforce Tower, stretches across the horizon. The foreground shows the tops of some buildings, while the background features distant hills and a hazy horizon.

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What
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